

Quiz 1

Name: _____

Multiple Choice (2%*50=100%) PLO 1.1

Please select ONE answer for each question. Please write your answers in the table on Page 9.

- C 1. Microeconomics deals with:
- A) the working of the entire economy or large sectors of it.
 - B) economic growth.
 - ☒ C) individual units in the economy.
 - D) gross domestic product.
- C 2. Macroeconomics deals with:
- A) bits and pieces of the economy.
 - B) the question of how a business unit should operate profitably.
 - ☒ C) the working of the entire economy or large sectors of it.
 - D) how individuals make decisions.
- A 3. Scarcity in economics means:
- ☒ A) not having sufficient resources to produce all the goods and services we want.
 - B) the wants of people are limited.
 - C) there must be poor people in rich countries.
 - D) shortages exist in nearly all markets.
- D 4. Opportunity cost is:
- A) about half of the monetary cost of a product.
 - B) the dollar payment for a product.
 - C) the benefit derived from a product.
 - ☒ D) the value of the best alternative forgone in making any choice.
- B 5. Marginal analysis studies how individuals decide:
- A) whether to live on the margin of society.
 - ☒ B) to do a bit more activity versus a bit less activity.
 - C) to analyze marginal businesses.
 - D) how much down payment to make when buying stocks.

- C 6. When the United States and Mexico trade:
- A) the United States will be worse off because wages in Mexico are so low.
 - B) Mexico will be worse off because the United States is a stronger economic power.
 - ☒ C) both Mexico and the United States will be better off.
 - D) both Mexico and the United States will be worse off.
- B 7. Specialization and trade should lead to all of the following *except*:
- A) individuals learning specific skills and earning a salary.
 - ☒ B) a decrease in total economic output.
 - C) higher living standards.
 - D) the exchange of goods and services in markets.
- A 8. A simplified representation that is used to study a real situation is called:
- ☒ A) a model.
 - B) a production possibility frontier.
 - C) an assumption.
 - D) a trade-off.
- A 9. The models that economists construct:
- ☒ A) usually make simplifying assumptions.
 - B) often rely on physical constructs, such as those used by architects.
 - C) rarely use mathematical equations or graphs.
 - D) attempt to replicate the real world.
- B 10. A production possibility frontier illustrates the _____ facing an economy that _____ only two goods.
- A) prices; sells
 - ☒ B) trade-offs; produces
 - C) trade-offs; consumes
 - D) shortages; produces
- B 11. All points inside the production possibility frontier represent:
- A) efficient production points.
 - ☒ B) inefficient production points.
 - C) nonfeasible production points.
 - D) economic growth.

- D 12. The slope of a typical production possibility frontier is:
A) 0.
B) vertical.
C) positive.
☒ D) negative.
- C 13. Assume an economy is operating on its production possibility frontier, which shows the production of military and civilian goods. If the output of military goods is increased, the output of civilian goods:
A) will increase, too.
B) will not change.
☒ C) must decrease.
D) may increase or decrease.
- C 14. Technological improvements will:
A) leave the production possibility frontier unchanged.
B) shift the production possibility frontier inward.
☒ C) shift the production possibility frontier outward.
D) necessarily lead to increased unemployment.
- D 15. The law of demand states that, other things equal:
A) as the price increases, the quantity demanded will increase.
B) as the price decreases, the demand curve will shift to the right.
C) as the price increases, the demand will decrease.
☒ D) as the price increases, the quantity demanded will decrease.
- B 16. Which of the following factors cause a movement along the demand curve?
A) change in the prices of related goods
☒ B) change in the price of the good
C) change in the population
D) both a change in the price of the good and a change in the population
- B 17. A shift of the demand curve for Luis's Pizza would *not* be caused by a change in the:
A) buyers' incomes.
☒ B) price of Luis's Pizza.
C) price of Humberto's Pizza.
D) popularity of Luis's Pizza.

- C 18. If goods A and B are substitutes, a decrease in the price of good B will:
- A) increase the demand for good A.
 - B) increase the demand for good B.
 - ☒ C) decrease the demand for good A.
 - D) increase the demand for good B and decrease the demand for good A.
- C 19. Which of the following will *not* cause an increase in demand for good X?
- A) a decrease in income if good X is an inferior good
 - ☒ B) an increase in income if good X is a normal good
 - ☒ C) a decrease in the price of good X
 - D) an increase in consumers' taste for good X
- C 20. A good is normal if:
- A) when income increases, the demand remains unchanged.
 - B) when income increases, the demand decreases.
 - ☒ C) when income increases, the demand increases.
 - D) income and the demand are unrelated.
- D 21. In the market for tacos, each of the following shifts the supply curve to the left *except*:
- A) an increase in the price of beef.
 - B) an increase in the wages of taco shop workers.
 - C) fewer taco shops.
 - ☒ D) a decrease in the price of tacos.
- B 22. A technological advance in the production of automobiles will:
- A) increase the demand for automobiles.
 - ☒ B) increase the supply of automobiles.
 - C) decrease the demand for automobiles.
 - D) decrease the supply of automobiles.
- A 23. A binding price ceiling is designed to:
- ☒ A) keep prices low.
 - B) increase the quality of the good.
 - C) prevent shortages.
 - D) increase efficiency.

- C 24. The government imposes a price ceiling below the equilibrium price. The price ceiling will cause:
- A) quantity demanded to decrease.
 - B) quantity supplied to increase.
 - ☒ C) a shortage of the good.
 - D) an increase in the quality of the good.
- C 25. The market for apples is in equilibrium at a price of \$0.50 per pound. If the government imposes a price ceiling in the market at a price of \$0.40 per pound, then:
- A) quantity demanded will decrease.
 - B) quantity supplied will increase.
 - ☒ C) there will be a shortage of the good.
 - D) the price ceiling will not affect the market price or output.
- A 26. A price ceiling is:
- ☒ A) a maximum price sellers are allowed to charge for a good or service.
 - B) the difference between the quantity supplied and quantity demanded.
 - C) a minimum price buyers are required to pay for a good or service.
 - D) the deadweight loss caused by an inefficiently low quantity.
- B 27. The Cozy Chair Company believes it can sell 200 chairs at \$200 per chair, or 300 chairs at \$150 per chair. Using the midpoint formula, you can calculate that the price elasticity of demand (to the nearest tenth) for Cozy Chairs is:
- A) 2.5.
 - ☒ B) 1.4.
 - C) 0.7.
 - D) 0.5.
- A 28. The price elasticity of demand measures the responsiveness of the change in:
- ☒ A) quantity demanded to a change in price.
 - B) price to a change in quantity demanded.
 - C) the slope of the demand curve to a change in price.
 - D) the slope of the demand curve to a change in quantity demanded.
- D 29. A perfectly price-inelastic demand curve is:
- ☒ A) horizontal.
 - B) downward-sloping.
 - C) upward-sloping.
 - ☒ D) vertical.

- C 30. After you graduate from college, you open a business selling computers. There are many other businesses in your city that sell similar computers. Based on this information, the price elasticity of demand for the computers that your business sells will be:
- A) 1.
 - B) 0.
 - ☒ C) highly elastic.
 - ☐ D) highly inelastic.
- D 31. Egg producers know that the elasticity of demand for eggs is 0.1. If they want to increase sales by 5%, they will have to lower price by _____%.
- A) 0.1
 - B) 1
 - C) 5
 - ☐ D) 50
- D 32. If demand is elastic, then:
- A) the price effect dominates the quantity effect, and a fall in price will cause total revenue to rise.
 - ☐ B) the price effect dominates the quantity effect, and an increase in price will cause total revenue to rise.
 - C) the quantity effect dominates the price effect, and an increase in price causes total revenue to rise.
 - ☒ D) the quantity effect dominates the price effect, and a decrease in price causes total revenue to rise.
- A 33. When Joe's income is \$100 per week, he spends \$20 per week on pizza. When his income rises to \$110 per week, he spends \$25 per week on pizza. If the price of pizza remains constant, this information implies that for Joe:
- ☐ A) pizza is a normal good and a luxury.
 - B) pizza is a normal good and a necessity.
 - C) pizza is an inferior good since his expenditure rose by less than the increase in income.
 - D) demand for pizza is price-elastic.
- D 34. To say that two goods are substitutes, their cross-price elasticities of demand should be:
- A) less than 0.
 - ☐ B) negative, yet almost equal to 0.
 - C) equal to 0.
 - ☒ D) greater than 0.

- C 35. Suppose the government imposes a \$10 excise tax on the sale of sweaters by charging suppliers \$10 for each sweater sold. Based on economic analysis, we would predict that:
- A) the price of sweaters will increase by \$10.
 - ☒ B) consumers of sweaters will bear the entire burden of the tax.
 - ☒ C) the price of sweaters will increase by less than \$10.
 - D) the price of sweaters will decrease by \$10.
- A 36. Recently, the government considered adding an excise tax on CDs that can be used to record music and CD players that can record discs. If this tax was enacted, we would expect:
- ☒ A) that consumers would pay a higher price and producers would sell fewer of these CDs and CD players than before the tax.
 - B) there to be no effect on consumption or the prices paid by consumers of these CDs and CD players.
 - C) that consumers would pay a lower price and producers would receive a higher price for these CDs and CD players than before the tax.
 - D) there to be an increase in economic activity due to the tax.
- C 37. The implicit cost of capital is:
- A) the expense associated with leasing machines.
 - B) the expense associated with buying machines.
 - ☒ C) the opportunity cost of capital used by a business.
 - D) irrelevant for determining economic profit.
- A 38. For most firms, economic profit is:
- ☒ A) less than accounting profit.
 - B) equal to accounting profit.
 - C) greater than accounting profit.
 - D) negative.
- B 39. According to the optimal output rule, if marginal benefit:
- A) exceeds marginal cost, an activity should be reduced.
 - ☒ B) is less than marginal cost, an activity should be reduced.
 - C) is equal to marginal cost, an activity should be reduced.
 - D) exceeds marginal cost, net benefit is maximized.

- D 40. In the long run:
A) all inputs are fixed.
B) inputs are neither variable nor fixed.
C) at least one input is variable and one input is fixed.
☒ D) all inputs are variable.
- B 41. When a firm experiences diminishing marginal returns:
A) its output is falling.
☒ B) marginal product is falling, yet it is still positive.
C) total product is going down, as marginal product is falling.
D) marginal product is negative.
- C 42. Which of the following is a necessary condition for perfect competition?
A) A small number of firms control a large share of the total market.
B) Entry and exit into the market is limited.
☒ C) Firms produce a standardized product.
☒ D) Extensive advertising is used to promote the firm's product.
- D 43. A competitive firm operating in the short run is maximizing profits and just breaking even. Its costs include a monthly license fee of \$100 that is imposed by the state and must be paid for as long as the firm is in existence. The license fee is now raised to \$150. To continue to maximize profits in the short run, the firm should:
A) increase price.
☒ B) increase output.
C) reduce output.
☒ D) not change output.
- A 44. A monopoly is best characterized by which of the following?
☒ A) a product with no close substitutes
B) a single buyer and several sellers
C) a large number of small firms
☒ D) a small number of large firms.
- C 45. Marginal revenue for a monopolist is:
A) equal to price.
B) greater than price.
☒ C) less than price.
D) equal to average revenue.

- A 46. An action is a dominant strategy when it is a player's best action:
- ☒ A) regardless of the actions by other players.
 - ☐ B) given certain profit-maximizing actions of other players.
 - ☐ C) assuming the other players do not correctly anticipate the action.
 - ☐ D) if there is only one other competitor.
- C 47. Oligopoly is a market structure characterized by:
- ☐ A) independence in decision making.
 - ☐ B) a horizontal demand curve.
 - ☒ C) a small number of interdependent firms.
 - ☐ D) relatively easy entry and exit.
- B 48. In monopolistic competition, each firm:
- ☐ A) is a price-taker.
 - ☒ B) has some ability to set the price of its differentiated good.
 - ☐ C) will set price equal to marginal cost.
 - ☐ D) has marginal revenue that is greater than price.
- A 49. To maximize profit, a monopolistically competitive firm should produce the level of output at which:
- ☒ A) marginal revenue equals marginal cost.
 - ☐ B) price equals marginal cost.
 - ☐ C) price equals total cost.
 - ☐ D) marginal revenue equals price.
- D 50. When the minimum wage increases:
- ☐ A) unemployment among skilled workers decreases.
 - ☐ B) fewer workers are willing to work "off the books."
 - ☐ C) employment of unskilled workers increases.
 - ☒ D) unemployment among unskilled workers increases.

Answers

1.	2.	3.	4.	5.	6.	7.	8.	9.	10.
11.	12.	13.	14.	15.	16.	17.	18.	19.	20.
21.	22.	23.	24.	25.	26.	27.	28.	29.	30.
31.	32.	33.	34.	35.	36.	37.	38.	39.	40.
41.	42.	43.	44.	45.	46.	47.	48.	49.	50.